

Procurement SOP

VWGDS (Demo) — Enterprise Policy Pack

Document ID	VWGDS-POL-PRC-006	Version	3.5
Owner	Procurement & Vendor Management	Effective Date	01-Feb-2026

This is a fictional demo document created for AI assistant / RAG training purposes. It does not represent an actual Volkswagen Group Digital Solutions policy.

1. Purpose

This SOP defines the standard process for requisitioning, sourcing, approving, and procuring goods and services to ensure transparency, cost control, and compliance with company procurement governance.

2. Scope

Applicable to all departments raising purchase requisitions for goods, services, or vendor engagements above Rs. 10,000.

3. Definitions

Term	Definition
Purchase Requisition (PR)	A formal internal request to initiate procurement of goods or services.
Purchase Order (PO)	A formal commercial document issued to a vendor confirming order details post approval.
Empaneled Vendor	A vendor pre-approved by Procurement after due diligence and rate negotiation.
Three-Way Match	Verification aligning the Purchase Order, Goods Receipt, and Invoice before payment release.
RFQ	Request for Quotation issued to vendors for competitive pricing.

4. Policy

Requisition Threshold

Any procurement request above Rs. 10,000 must be raised as a formal Purchase Requisition in the system; requests below this threshold may use the petty cash process.

Vendor Selection

Procurement above Rs. 1,00,000 requires a minimum of 3 competitive quotations unless sourced from a sole-source empaneled vendor with documented justification.

Approval Before Commitment

No verbal or informal commitment to a vendor is permitted before Purchase Order issuance; doing so is a policy violation regardless of urgency.

Goods Receipt

Requesting department must confirm Goods Receipt (GR) in the system within 2 working days of delivery to trigger the three-way match for invoice processing.

Payment Terms

Standard vendor payment terms are Net 30 from invoice date, subject to successful three-way match; deviations require Finance Controller approval.

5. Approval Matrix

Scenario	Approval Required
PR up to Rs. 50,000	Department Head
PR Rs. 50,001 - Rs. 5,00,000	Department Head + Procurement Head
PR above Rs. 5,00,000	Procurement Head + Finance Controller + CFO
New vendor onboarding	Procurement Head + Compliance

6. Workflow

- Step 1.** Requesting department raises a Purchase Requisition (PR) with business justification.
- Step 2.** Procurement validates PR, sources quotations (RFQ) if applicable.
- Step 3.** PR is approved as per the Approval Matrix.
- Step 4.** Purchase Order (PO) is issued to the selected vendor.
- Step 5.** Goods/services are delivered; requesting department confirms Goods Receipt.
- Step 6.** Vendor invoice is matched against PO and GR (three-way match) before payment release.

7. Exceptions

- Emergency procurement (e.g., critical facility breakdown) may bypass the RFQ step with post-facto justification approved by the Procurement Head within 3 working days.
- Framework agreements with pre-negotiated rates do not require fresh RFQs for each transaction.

8. FAQs

Q: Can a department directly contact and finalize a vendor without Procurement involvement?

A: No, all vendor engagement above the requisition threshold must route through Procurement for compliance and rate governance.

Q: What happens if the invoice amount doesn't match the PO?

A: The invoice is held for review; Procurement and the vendor must reconcile the discrepancy before payment release.

Q: How long does standard PR approval take?

A: Typically 3-5 working days depending on value tier, assuming complete documentation is provided upfront.

9. Contacts

Contact Point	Details
Procurement Helpdesk	procurement@vwgds-demo.com
Vendor Onboarding Team	vendor.onboarding@vwgds-demo.com

10. Revision History

Version	Date	Change Description
1.0	01-Mar-2022	Initial release
2.5	01-Jun-2024	Introduced three-way match requirement
3.5	01-Feb-2026	Revised approval matrix thresholds